

moderate to behavioral biases, and the offsetting that takes place likely requires a modest adjustment. Naturally, these are only conceptual guidelines, and actual client situations will likely require additional customization.

Later in the book we will review an alternative way of classifying assets to incorporate behavioral finance principles into the asset allocation process.

INVESTMENT POLICY AND ASSET ALLOCATION

Behavioral biases can and should be accounted for in the investment policy development and asset allocation selection process by both investors and their advisors. Behavioral finance considerations may have their own place in the constraints section of the investment policy statement, along with liquidity, time horizon, taxes, legal and regulatory environment, and unique circumstances. Responses to questions such as the following may help develop the behavioral finance considerations that impact on investment decisions and the resulting portfolio:

1. Which biases does the client show evidence of?
2. Which bias type dominates (cognitive or emotional)?
3. What effect do the client's biases have on the asset allocation decision?
4. What adjustment should be made to a "rational" (risk tolerance-based) asset allocation that accounts for the client's behavioral makeup?
 - a. When should behavior be *moderated* to counteract the potentially negative effects of these biases on the investment decision-making process?
 - b. When should asset allocations be created that *adapt* to the investor's behavioral biases so that they can comfortably abide by their asset allocation decisions?
 - c. What is an appropriate *behaviorally modified asset allocation* (referred to as a behaviorally modified portfolio) for an investor?
 - d. Once the decision is made to recommend a modified portfolio, what quantitative parameters should be used when putting the recommendation into action?

In the next chapter, we will review two case studies to help demonstrate these concepts.

NOTES

1. "World Wealth Report Spotlight," Capgemini, Inc., accessed March 17, 2011, at www.capgemini.com/services-and-solutions/by-industry/financial-services/solutions/wealth/new-service-model-for-hnw-clients/.